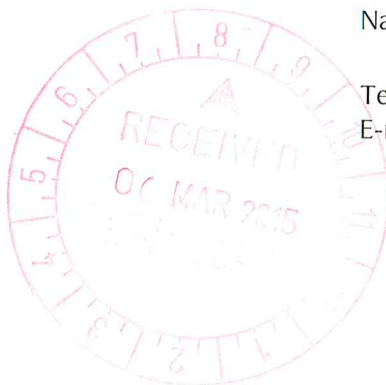


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E-mail: Hellen.Njau@barclays.com



6th March, 2015

Mr. Geoffrey Odundo
Chief Executive Officer
Nairobi Stock Exchange
55 Westlands Road
NAIROBI

Our Ref: BBK/LSS/Communication with Regulators

Dear Sirs,

RE: BARCLAYS KENYA FINANCIAL RESULTS FOR THE YEAR ENDED 31ST DECEMBER 2014

We enclose herewith the financial results for Barclays Bank of Kenya Limited for the year ended 31st December 2014 as released to the investors and the media this morning. The financials will be published in the dailies on Monday, 9th March, 2015.

Kindly acknowledge receipt on the attached copy of this letter.

Yours faithfully,

Waweru Mathenge
Company Secretary
Legal & Secretarial Services

The Board of Directors of Barclays Bank of Kenya Limited is pleased to announce the Audited Group results for the period ended 31 December 2014

BARCLAYS BANK OF KENYA LIMITED
FINANCIAL STATEMENTS

	BANK		GROUP	
	December 2014 Shs '000 Audited	December 2013 Shs '000 Audited	December 2014 Shs '000 Audited	December 2013 Shs '000 Audited
STATEMENT OF FINANCIAL POSITION				
A ASSETS				
1 Cash balances (both local and foreign)	6,956,130	6,294,488	6,956,130	6,294,488
2 Balances due from Central Bank of Kenya	17,611,517	10,613,198	17,611,517	10,613,198
3 Kenya Government and other securities held for dealing purposes	6,133,921	814,510	6,133,921	814,510
4 Financial Assets at fair value through profit and loss	-	1,173,181	-	1,173,181
a) Investment Securities:				
Held to Maturity:				
a. Kenya Government securities	-	-	-	-
b. Other securities	-	-	-	-
b) Available for sale:				
a. Kenya Government securities	51,032,847	47,558,631	51,032,847	47,558,631
b. Other securities	51,032,847	47,558,631	51,032,847	47,558,631
6 Deposits and balances due from local banking Institutions	1,000,000	1,250,000	1,000,000	1,250,000
7 Deposits and balances due from banking Institutions abroad	206,504	136,078	206,504	136,078
8 Tax recoverable	398,852	1,024,572	398,852	1,024,572
9 Loans and advances to customers(net)	125,423,371	118,361,911	125,423,371	118,361,911
10 Balances due from banking institutions in the group	4,754,595	9,129,060	4,754,595	9,129,060
11 Investment in Associates	-	-	-	-
12 Investment in Subsidiary Companies	275,678	275,678	-	-
13 Investment in joint Ventures	-	-	-	-
14 Investment properties	-	-	-	-
15 Property and equipment	2,846,034	2,785,818	2,846,034	2,785,818
16 Prepaid Operating Rental Leases	57,584	57,989	57,584	57,989
17 Intangible assets	2,490,927	2,858,865	2,490,927	2,858,865
18 Deferred Tax	253,844	-	253,844	-
19 Retirement Benefit Asset	88,747	-	88,747	-
20 Other assets	6,587,573	4,675,639	6,590,561	4,678,631
21 TOTAL ASSET	226,118,124	207,009,618	225,845,434	206,736,932
B LIABILITIES				
22 Balances due to Central Bank	520	-	520	-
23 Customers' deposits	164,778,726	151,121,844	164,778,724	151,121,844
24 Deposits and balances due to Banking institutions (Local)	-	4,495,400	-	4,495,400
25 Deposits and balances due to Banking institutions (Foreign)	121,129	242,916	121,129	242,916
26 Other money market deposits	-	-	-	-
27 Borrowed Funds	-	-	-	-
28 Balances due to banking institutions in the group	13,290,936	9,032,576	13,290,936	8,759,890
29 Tax payable	-	-	-	-
30 Dividends payable	-	-	-	-
31 Deferred tax liability	-	154,152	-	154,152
32 Retirement Benefit Liability	-	125,463	-	125,463
33 Other liabilities	9,740,722	9,466,381	9,468,035	9,466,381
34 TOTAL LIABILITIES	187,932,033	174,638,732	187,659,344	174,366,046
C SHAREHOLDERS' FUNDS				
35 Paid up / Assigned capital	2,715,768	2,715,768	2,715,768	2,715,768
36 Share premium / (discount)	-	-	-	-
37 Revaluation reserves	(307,798)	(400,779)	(307,798)	(400,779)
38 Retained earnings / (Accumulated losses)	29,914,996	26,366,725	29,914,996	26,366,725
39 Statutory loan loss reserve	431,589	973,404	431,589	973,404
40 Other reserves	-	-	-	-
41 Proposed dividend	5,431,536	2,715,768	5,431,536	2,715,768
42 Capital Grants	-	-	-	-
43 TOTAL SHAREHOLDERS' FUND	38,186,091	32,370,886	38,186,091	32,370,886
44 TOTAL LIABILITIES AND SHAREHOLDERS' FUND	226,118,124	207,009,618	225,845,435	206,736,932

	December 2014 Shs '000 Audited	December 2013 Shs '000 Audited	December 2014 Shs '000 Audited	December 2013 Shs '000 Audited
STATEMENT OF COMPREHENSIVE INCOME				
1.00 INTEREST INCOME				
1.10 Loans and advances to customers	16,707,198	14,850,421	16,707,198	14,850,421
1.20 Government securities	4,586,553	4,727,962	4,586,553	4,727,962
1.30 Deposits and placements with banking institutions	211,486	272,510	211,486	272,510
1.40 Other interest income	1,435,807	1,445,724	1,435,807	1,445,724
1.50 Total interest income	22,941,044	21,296,617	22,941,044	21,296,617
2.00 INTEREST EXPENSES				
2.10 Customer deposits	2,912,416	2,037,176	2,912,416	2,037,176
2.20 Deposits and placements with banking institutions	134,852	97,441	134,852	97,441
2.30 Other interest expenses	290,162	303,004	290,162	303,004
2.40 Total interest expenses	3,337,430	2,437,621	3,337,430	2,437,621
3.00 NET INTEREST INCOME	19,603,614	18,858,996	19,603,614	18,858,996
4.00 NON - OPERATING INCOME				
4.10 Fees and commissions income on loans & Advances	1,537,123	1,682,295	1,537,123	1,682,295
4.20 Other fees and commissions	4,827,151	4,838,761	4,827,151	4,838,761
4.30 Foreign exchange trading income	2,042,437	2,084,157	2,042,437	2,084,157
4.40 Dividend income	-	-	-	-
4.50 Other income	278,163	457,730	278,163	457,730
4.60 Total non-interest income	8,684,874	9,062,943	8,684,874	9,062,943
5.00 Total Operating Income	28,288,488	27,921,939	28,288,488	27,921,939
6.00 OPERATING EXPENSES				
6.10 Loan loss provision	1,404,959	1,222,900	1,404,959	1,222,900
6.20 Staff costs	8,100,426	8,114,254	8,100,426	8,114,254
6.30 Directors emoluments	25,003	15,236	25,003	15,236
6.40 Rental charge	1,102,655	1,060,641	1,102,655	1,060,641
6.50 Depreciation on property and equipment	486,912	537,379	486,912	537,379
6.60 Amortisation charges	583,068	610,747	583,068	610,747
6.70 Other operating expenses	4,291,941	4,439,343	4,291,941	4,439,343
7.00 Total operating expenses	15,994,964	16,000,500	15,994,964	16,000,500
Profit before tax and exceptional items	12,293,524	11,921,439	12,293,524	11,921,439
8.00 Exceptional items	-	788,261	-	788,261
9.00 Profit after exceptional items	12,293,524	11,133,178	12,293,524	11,133,178
10.00 Current tax	(4,354,831)	(3,496,005)	(4,354,831)	(3,496,005)
11.00 Deferred tax	448,653	(14,531)	448,653	(14,531)
12.00 Profit after tax and exceptional items	8,387,346	7,622,642	8,387,346	7,622,642
13.00 OTHER COMPREHENSIVE INCOME				
13.10 Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-
13.20 Fair value changes in available for sale financial assets	132,829	(278,256)	132,829	(278,256)
13.30 Revaluation surplus on Property, plant and equipment	-	-	-	-
13.40 Share of other comprehensive income of associates	-	-	-	-
13.50 Income tax relating to components of other comprehensive income	(39,849)	83,477	(39,849)	83,477
14.00 Other Comprehensive Income for the year net of tax	92,980	(194,779)	92,980	(194,779)
15.00 Total comprehensive income for the year	8,480,326	7,427,863	8,480,326	7,427,863

Earnings per Share (Shs)	1.54	1.40	1.54	1.40
Dividends per share (Shs)	1.00	0.70	1.00	0.70

iii OTHER DISCLOSURES

1) Non-performing loans and advances

	December 2014 Shs '000 Audited	December 2013 Shs '000 Audited	December 2014 Shs '000 Audited	December 2013 Shs '000 Audited
a) Gross non-performing loans and advances	6,136,924	4,879,045	6,136,924	4,879,045
b) Less: Interest in suspense	1,582,498	1,299,136	1,582,498	1,299,136
c) Total non performing loans and advances	4,554,426	3,579,909	4,554,426	3,579,909
d) less: loan loss provisions	2,109,563	2,915,239	2,109,563	2,915,239
e) Net non performing loans(c-d)	2,444,863	664,670	2,444,863	664,670
f) Discounted value of securities	1,041,711	262,283	1,041,711	262,283
g) Net NPLs (Excess) / Exposure (e-f)	1,403,152	402,387	1,403,152	402,387
2) Insider loans and advances				
a) Directors ,shareholders and associates	47,050	42,589	47,050	42,589
b) Employees	10,109,247	9,153,999	10,109,247	9,153,999
c) Total insider loans and advances	10,156,297	9,196,588	10,156,297	9,196,588
3) Off Balance sheet items				
a) Letters of credit, guarantees, acceptances	33,531,550	35,798,609	33,531,550	35,798,609
b) Forwards, swaps and options	11,474,737	8,876,475	11,474,737	8,876,475
c) Other contingent liabilities	3,177,300	3,226,200	3,177,300	3,226,200
Total Contingent liabilities	48,183,587	47,901,284	48,183,587	47,901,284
4) Capital Strength				
a) Core capital	32,623,910	29,082,761	32,623,910	29,082,761
b) Minimum statutory capital	1,000,000	1,000,000	1,000,000	1,000,000
c) Excess / (Defecency)	37,055,446	28,082,761	37,055,446	28,082,761
d) Supplementary capital	431,589	1,373,733	431,589	1,373,733
e) Total capital	33,055,499	30,456,494	33,055,499	30,456,494
f) Total risk weighted assets	207,154,473	191,652,230	207,154,473	191,652,230
g) Core capital / total deposit liabilities	19.8%	19.2%	19.8%	19.2%
h) Minimum statutory ratio	10.5%	10.5%	10.5%	10.5%
i) Excess / (Defecency)	9.3%	8.7%	9.3%	8.7%
j) Core capital / total risk weighted assets	15.7%	15.2%	15.7%	15.2%
k) Minimum statutory ratio	10.5%	10.5%	10.5%	10.5%
l) Excess / (Defecency)	5.2%	4.7%	5.2%	4.7%
m) Total capital / total risk weighted assets	16.0%	15.9%	16.0%	15.9%
n) Minimum statutory ratio	14.5%	14.5%	14.5%	14.5%
o) Excess / (Defecency)	1.5%	1.4%	1.5%	1.4%
5.00 Liquidity				
a) Liquidity ratio	44.2%	42.0%	44.2%	42.0%
b) Minimum statutory ratio	20.0%	20.0%	20.0%	20.0%
c) Excess / (Defecency)	24.2%	22.0%	24.2%	22.0%

Message from the Directors:

Subject to approval of the shareholders,the directors have resolved to recommend to members at the forthcoming Annual General Meeting a final dividend for the year of Kshs 1.00 per share to be paid on or about 29 April 2015 to shareholders registered at the close of business on 30 March, 2015

The above consolidated income statement and consolidated statement of financial position are extracts from the Bank's financial statements.The financial statements have been audited by PricewaterhouseCoopers and have received an unqualified opinion.A full set of these financial statements will be available at our registered office at The West End Building,Waiyaki Way and online as www.barclays.co.ke for inspection after approval at the Annual General Meeting to be held on 29 April, 2015.

The financial statements were approved by the Board of Directors on 6 March 2015 and signed on its behalf by:

Jeremy Awori
Chief executive Officer

Francis okomo-Okello
Chairman

Yusuf Omari
Chief Financial Officer

Waweru Mathenge
Company Secretary